

the board and the sale of the company at a substantial premium to the prevailing market price:¹⁷

I am writing this letter to ask you to elect me to the Board of Directors at the Annual Meeting of Shareholders on April 23, 1979. As the largest shareholder of Tappan, I would like to see our company acquired or tendered for at a price close to its December 31, 1978, book value of \$20.18.

Channeling Berle and Means, Icahn argued that management was insulated from Tappan's poor performance by their overly generous compensation package:¹⁸

During the past five years Tappan, under its current management, has lost \$3.3 million on sales of \$1.3 billion and during the same period [Dick] Tappan and [Donald] Blasius, Tappan's Chairman of the Board and President, respectively, received salaries and bonuses totaling \$1,213,710.

The letter contained a chart comparing Tappan's earnings and Dick Tappan and Blasius's salaries on an annual basis. Referring to the chart, Icahn said:¹⁹

If I personally owned a business with these operating results and which had a substantial net worth, I would certainly seek to sell that business. I believe the same logic should apply in the case of Tappan.

Taking advantage of any lingering doubts shareholders might hold about the motives of management, Icahn resurrected the specter of the withdrawn preferred stock issue. Saying that management had admitted that such an issue "might have the effect of discouraging some future attempt to take over the company by a cash tender offer or otherwise," Icahn pledged that, if elected to the board, he would "discourage any such future proposals in their embryonic stages."²⁰

As a director of Tappan my first act will be to recommend that we retain an investment banking firm (unaffiliated with me) to solicit proposals from third parties to acquire our company at a price near its book value, which at December 31, 1978, was \$20.18.

Although management has stated to me that they do not desire the acquisition of Tappan by another company, I assure you that, if I am elected, I will inform would-be suitors that at least one